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China (Formosa)

WALTER S. ROBERTSON
115 Mutual Building
Richmond, Virginia

October 8, 1949

The Hon. Philip C. Jessup
Ambassador at Large
Department of State
Washington, D. C.

Dear Dr. Jessup:

Your letter of August 18, acknowledged by my Secretary on August 24, arrived at a time of continuous absences from Richmond on urgent business. I regret the long delay in replying which belies my deep interest in the problem assigned to you.

My experience in Asia has been limited to China where I served for approximately eighteen months with the American Embassy as Minister-Counselor, as Charge d'Affaires ad interim between the Ambassadorships of General Hurley and Dr. Stuart, and for ten months as American Commissioner and Chairman of The Peiping Executive Headquarters. My duties brought me into close personal contact with the highest Government and Communist Party officials. Therefore, whatever the validity of my reactions to that chaotic scene, they are at least based upon first-hand impressions and not upon the reported reactions of others.

In justice to ourselves as well as to whatever friends we may have left in Asia, it would seem to be imperative that we clarify our objectives and pursue them with fidelity. Chiang Kai Shek has now been made the official scapegoat not only for China's sins but for ours as well. His back is hardly broad enough to bear such a burden. China's economic ills and appalling social problems will remain to plague whatever government follows him and in my opinion at least, it can be fairly demonstrated that the confused and confusing inconsistencies of our own vacillating policy, however well meaning it might have been, contributed directly and indirectly to the debacle which engulfed him and his government, our ally, and brought to power the Communists, our long avowed enemies.

That great confusion existed is attested by the fact that both the National Government and the Communist Party can make out a case against us of having run with the hare and ridden with the hounds. The confusion is explicable. Officially we were committed to a policy of expediency which was constantly being challenged by reports from certain foreign service officers in the field denouncing the Kuomingtang, praising the Communists and recommending a course of action directly contrary

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to the one we were pursuing. And the fact that some of our official observers whose reports later influenced changes in policy completely failed to recognize the nature and character of the Communist movement only served to compound the complications already inherent in the situation.

A review of our mistakes of the past is pertinent now only to the extent that it helps us to evaluate the present and possibly avoid similar mistakes in planning for the future. What justification is there for saying that we unwittingly weakened our friends and strengthened our enemies?

Prior to World War II our interest in China was largely, if not wholly, commercial. Our Open Door policy was initiated, developed and vigorously proclaimed in protection of our trade interests. We felt that Japanese penetration into Manchuria and North China, with its infringement upon Chinese sovereignty, seriously jeopardized such interests. Our long years of protest finally ended at Pearl Harbor, which catapulted us into a global war so threatening to the existence of free people everywhere that all questions of trade interests dwindled into insignificance. Naturally after Pearl Harbor we were concerned primarily with winning the war. It happened to fit in with our idealistically proclaimed war aims to paint a picture of Chiang Kai Shek as a valiant leader of Democracy, fighting a courageous, uphill battle against totalitarian forces of oppression. In addition to Lend-Lease aid, we granted him in 1942 a $500,000,000 credit "to strengthen China's position as regards both her internal economy and her capacity in general to function with great military effectiveness in our common effort." In 1943 we renounced extra-territoriality by formal treaty. We designated China as one of the five great powers of the world to participate jointly "in the prosecution of the war, the organization of the peace and the establishment of machinery for post-war international cooperation." In December of the same year in Cairo we solemnly pledged the return to the sovereignty of China the territory forcibly taken by the Japanese, including Manchuria by name. Returning from Cairo, the President proclaimed to the nation, "Today we and the Republic of China are closer than ever before in deep friendship and in unity of purpose". All during this time certain foreign service officers were reporting the Chinese government to be corrupt, ineffectual and totalitarian with one such officer later going so far as to proclaim the Communist revolution "moderate and democratic". (Underscoring mine.) At this time victory in the Pacific was an almost indiscernible speck on the horizon.

Chiang Kai Shek responded to our friendship. When the outlook seemed blackest for him, he reputedly spurned a glamorous offer to sell out to the Japanese, thus freezing upon the Continent of Asia large well-equipped Japanese forces which would otherwise have been freed to oppose our struggle up the Pacific. In this one action he made a significant, if indirect, contribution to victory which saved untold numbers of American lives.

Against this background, the deal at Yalta respecting Manchuria seems incredible. In February 1945, with our forces mopping up the Philippines far ahead of schedule, it was deemed necessary to bring Russia into the war to hasten the victory already in sight. Russia's

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price was Manchuria. We granted it without China's knowledge or consent. We granted it despite the renouncement of extra-territoriality by ourselves and other allies, despite the specific pledges made in Cairo, despite the fact that China had been fighting for eight years in the hope of recovering these same rich northeastern provinces from the Japanese, despite the fact that we ourselves had been plunged into a terrible war protesting the Japanese in Manchuria as a threat to our national interests and an infringement upon the sovereignty of China.

What happened is an all too familiar story. On August 9, the day after the second atomic bomb was dropped on Nagasaki, Russia declared war on Japan. The Japanese surrendered on August 14. Russia, five days in the war, swept in and took full military possession of Manchuria. Firmly entrenched, they began a systematic looting of its magnificent industrial plants, the only industrial production left in China. They vitiated the Potsdam declarations by refusing the Chinese use of their own ports and railroads to take over surrender of the Japanese. They denied us, the victors in the war, permission even to send in our consular representatives. They finally capitalized our ill-fated efforts at mediation as an opportunity for abandoning to the Chinese Communists large areas of Manchurian territory and large quantities of Japanese arms and equipment. In a footnote to the Sino-Soviet Treaty, the Russians had pledged themselves to evacuate Manchuria within three months after V-J Day. Actually three months after V-J Day no Chinese troops had been able to get into Manchuria to take over either territory or Japanese surrender.

It was in the summer of 1945, immediately following V-J Day that China was desperately in need of economic assistance if collapse was to be avoided. Eight years of war had destroyed communications, paralyzed industry and commerce, devastated agricultural lands and brought to the brink of disaster an economy which is only a pauper economy at best. The Russian rape of Manchuria had removed the sole industrial production left intact by the war. Without prompt outside relief gigantic inflation and economic collapse was inevitable. From every standpoint of our own interest, it would seem that there was just as compelling a reason for a loan to "strengthen China's position as regards her internal economy" in 1945 as there had been in 1942. But by this time the Communist propaganda machine, with loud echos in the American press, was in full swing, giving voice to the same views that some of our foreign service officers had been proclaiming. So with victory now seemingly assured, we suddenly reversed our policy towards the National Government. We took the position that "a China desorganized and divided either by foreign aggression.....or by internal strife is an undermining influence to world stability and peace". (China had been so disorganized and divided for some twenty years); that "a strong, united and democratic China is of the utmost importance to the success of the United Nations organization." (China was neither strong, united nor democratic when she was designated a great power and given a seat on the Security Council, nor has she ever been in her 4000-year old history); that "as China moves towards peace and unity.....the United

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States would be prepared to assist the National Government in every reasonable way to rehabilitate the country, improve the agrarian and industrial economy and establish a military organization capable of discharging China's national and international responsibilities.....", that "in furtherance of such assistance the United States would be prepared to give favorable consideration to Chinese requests for credit and loans under reasonable conditions....", etc. If the Chinese government could have fulfilled this counsel of perfection it would have needed little of American assistance. And so through this ominously critical period, with economic forces inexorably approaching the brink of disaster, we withheld our help, exercising instead our prestige and power to bring about a coalition with the Communists. In Europe we poured out our millions to prevent economic collapse to keep the Communists out. In China we withheld assistance at the only time it probably had any chance of being effective to force the Communists in. Once this opportunity was lost, the economic, political and military collapse which followed was inevitable. Much stress has been laid upon our so-called $2,000,000,000 aid since V-J Day. An analysis of the character and timing of such aid is striking evidence of the lack of a positive and coordinated policy which served either Chinese or American interests.

Our position now would be ludicrous were it not so tragic and ominous. Having fought and won the war at terrific sacrifice, we see our brilliant victory turned into bitter defeat and find ourselves confronted with a situation far more menacing to our interests than that which existed before we fired a shot, killed a son or spent a dollar of our resources.

What should our objectives now be and what methods should be employed to realize them?

In a world of tottering economies and social unrest, of ideological hatred, of Russian intrigue and power, a global situation involving unknown but probably staggering demands upon our already overburdened economy, I assume that our objectives in China and elsewhere must of necessity be primarily concerned with the preservation of ourselves and that nebulous thing we call our world. If this be true, policies and commitments in any given area would depend solely upon that area's relative importance to our overall security. Obviously these are questions not for the layman or specialist but rather for policy makers, diplomatic, military and economic, at the highest level of government. One cannot see the contents of a room by peeping through the keyhole.

I feel in no way qualified to pass upon the question, but I am strongly of the opinion that recognition of the Communist regime would not be to the best interests either of China's suffering millions or of ourselves. The Communists will almost certainly make ingratiating overtures to obtain recognition. Strong pressure will no doubt be brought from our trade interests in favor of it. There would be obvious

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advantages to us in being able to maintain diplomatic representation in Communist territory for such reporting as might be permitted. On the other hand, if the Communists were allowed to stew in their own juice for a time, they would, in my opinion, soon begin to be confronted with the same overwhelming economic and social problems which contributed so largely to the downfall of the National Government. Recognition would bring reestablishment of trade and possibly economic assistance, both vitally necessary to the permanent maintenance of any semblance of economic stability. It would also bring tremendous prestige to the Communist movement throughout Asia.

China's ignorant masses are not concerned with ideologies. They know when they are hungry; they know when they are cold; they know when there is scant margin left over from the tax collector to show for their unceasing labors; they know when their sons are conscripted from the fields. There is logical reason to assume that once they experience the ruthless exploitation and regimentation of Communist power, as surely they will experience it, they will again be restive to follow any leadership which promises relief. There are good men in China as well as venal men, who are opposed to the Communists. We have to work in China with what is there, not what we should like to have there. Withholding recognition would seem to offer the Chinese people some hope of eventually escaping Communist domination and control. And important from our standpoint, it would seem to offer the best hope of reestablishing American prestige and influence in the Pacific.

Of one fact we can be certain. The leaders of the Communist movement in China are zealous consecrated Marxists intense in their loyalty to Moscow and haters of everything we are and stand for.

Sincerely yours,

Walter S. Robertson.

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